capabilities compared to that of a computer. Since computers had more memory and faster processors, they could allow for more complex games, in addition to being versatile and allowing for word processing and other activities. Games could be saved to writeable storage media, allowing players to pick up where they left off earlier.

All in all, the market saw a two-year slump, before it re-emerged in 1985, with Japanese companies like Sega and Nintendo dominating the market, and leaving the remaining bits to recovering companies like Atari.

The end of the 1983 recession ushered in the third generation of gaming consoles, which worked upon some of the common features of the second generation, such as AI computer opponents, basic color graphics that made use of sprites, removable ROM cartridges that allowed for multiple games to be played on a single console, and three channel audio.

Third Generation

After the recession of 1983 receded, the North American gaming console market saw the entry of Nintendo, with their Japanese Famicom (short for Family Computer) was rebranded and sold as the Nintendo Entertainment System. The third and forthcoming generations saw Nintendo and Sega battling it out for the top spot in the market, with Atari coming in a close third. All offerings started with a baseline of 8-bit processors, thus lending this period its alternative name of the “8-bit era”.

Nintendo first released the NES in Japan, as the Famicom. After seeing widespread acclaim for its product, accompanied with soaring sales towards the end of 1984, Nintendo decided to release the NES to selected American consumers in 1985, and opened up distribution to the entire American market in the following year.

Seeing as how the 1983 crash was a result of widespread confusion in video game marketing, Nintendo took all possible steps to ensure the veracity and accuracy of all titles released for its device. With the NES, Nintendo attempted to introduce a business model that made compulsory rigorous product checks for all games being released for the console, and licensed third-party developers to produce and distribute titles for their system. This ensured uniformity in the quality of products that were released under the aegis of Nintendo, and helped restore customer confidence in the video game industry.

Nintendo’s aggressive marketing practices also helped propel it to the top. In order to convince Sears and other major retailers to stock their